

**CITY OF SANTA CLARITA
AGENDA REPORT**

CONSENT CALENDAR City Manager Approval: _____

Item to be presented by: Armine Chaparyan

DATE: February 28, 2012

SUBJECT: SUCCESSOR AGENCY OF THE REDEVELOPMENT AGENCY
OF THE CITY OF SANTA CLARITA ADOPT THE RECOGNIZED
ENFORCEABLE OBLIGATION PAYMENT SCHEDULE AND
ADMINISTRATIVE BUDGET FOR THE PERIOD OF FEBRUARY
1, 2012, TO JUNE 30, 2012

DEPARTMENT: Community Development

RECOMMENDED ACTION

1. City Council, acting as Successor Agency for the Redevelopment Agency of the City of Santa Clarita, adopt the Recognized Obligation Payment Schedule.
2. Adopt an administrative budget for the period of February 1, 2012, to June 30, 2012, appropriate the funds listed in the attached document, and increase Tax Increment Revenue Account 392-4001.007 by \$873,591.

BACKGROUND

As part of the dissolution process for the Redevelopment Agency, the City, acting as Successor Agency for the Redevelopment Agency of the City of Santa Clarita (Successor Agency), must undertake a number of administrative actions.

Recognized Obligation Payment Schedule (ROPS)

By March 1, 2012, the Successor Agency is required to prepare a draft ROPS for payments through June 30, 2012. The ROPS serves as an invoice between the Successor Agency and Los Angeles County (County) and dictates how much property tax increment will be released by the County to the Successor Agency. Only payments listed on the ROPS may be made by the Successor Agency.

Moving forward, an ROPS must be adopted by the Successor Agency and approved by an Oversight Board for each six-month fiscal period. The City Council, acting in the role of the

Successor Agency, can expect to have an ROPS to consider twice a year until the former Redevelopment Agency is completely dissolved and all remaining debt is paid.

The ROPS looks similar to the Enforceable Obligation Payment Schedule (EOPS) adopted by the City Council on August 23, 2011, and amended on January 24, 2012. The major differences between the ROPS and the EOPS are: the ROPS must identify the source of payment (fund balance, bond proceeds, administrative allowance, etc.) and some agreements listed on the EOPS are statutorily not allowed to be listed on the ROPS. Additionally, the ROPS will go through a certification process led by the Los Angeles County Auditor-Controller and must ultimately be approved by the Oversight Board, which has yet to be formed.

Administrative Budget

The Successor Agency is allowed an administrative allowance, subject to approval by an Oversight Board. This allowance is up to five percent of the property tax within the Newhall Redevelopment Project Area for Fiscal Year 2011-12 and three percent each year thereafter. This amount shall not be less than \$250,000 for any fiscal year unless negotiated by the Successor Agency and Oversight Board.

As a result of the Redevelopment Agency dissolving and the Successor Agency taking over, it becomes necessary to appropriate the funds to the Successor Agency to continue to make payments on the ROPS, as the Successor Agency did not exist at the time the Fiscal Year 2011-12 budget was adopted.

The Successor Agency is requesting \$252,117.60 for its administrative budget for Fiscal Year 2011-12 to cover all costs to administer the distribution of the former Redevelopment Agency's assets and to fulfill all other obligations of the former Agency. The proposed administrative budget includes personnel charges and costs related to the preparation for and hosting of meetings for the Oversight Board (including office supplies, printing, and special supplies) for the period of February 1, 2012, to June 30, 2012. A detailed breakdown of the administrative budget and the costs related to the ROPS is attached, and staff is recommending the City Council appropriate the funds as shown.

ALTERNATIVE ACTIONS

Other actions as determined by City Council.

FISCAL IMPACT

The General Fund is not impacted by the proposed actions. Upon appropriation of the additional tax increment revenue, all funds are available in the Redevelopment Obligation Retirement Fund (392) to cover the proposed administrative budget and all other Recognized Enforceable Obligations.

ATTACHMENTS

Recognized Obligation Payment Schedule
Successor Agency Budget Appropriation and Administrative Allowance Budget

